

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

20230930-DK-BUTTERFLY-1, INC., *Complainant*

v.

BAL CONTAINER LINE CO., LIMITED, *Respondent*.

**DOCKET NO. 25-01**

Served: September 19, 2025

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**ORDER OF:** Erin M. WIRTH, *Chief Administrative Law Judge*.

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**ORDER ON MOTION TO COMPEL AND THIRD REVISED SCHEDULING ORDER**

On September 10, 2025, Complainant filed its second motion to compel discovery (“Compel Motion”). On September 11, 2025, Respondent filed an unopposed motion for third amended scheduling order (“Extension Motion”) requesting an extension of forty-five days for the remaining deadlines.

On September 12, 2025, Complainant filed a response to the Extension Motion (“Extension Response”). Also on September 12, 2025, Respondent’s counsel sent an email to my office requesting a ruling on its Extension Motion filed the evening before. On September 12, 2025, an Order on Pending Motions explained that the Extension Motion would be addressed after the Compel Motion had been fully briefed. On September 17, 2025, Respondent filed its opposition to the Compel Motion (“Compel Opposition”).

As explained below, the Compel Motion is denied without prejudice, and the Extension Motion is granted in part and denied in part.

*Compel Motion*

The parties dispute whether BAL’s owners, Cinda Li and Richard Xu, who are a married couple, need to be included in BAL’s list of custodians in the ESI Protocol. Compel Motion at 3; Compel Opposition at 1. BAL has agreed to search the email accounts of nine custodians and states that it is producing documents from those searches on the date that it filed its Opposition, anticipating that by September 19, 2025, it will have produced approximately 5,900 documents. Compel Opposition at 5-6. At the time that the motion was filed, BBY states that it had produced 3,464 documents while BAL had only produced 655 documents. Motion at 4.

BBY contends that Li and Xu were named “as individuals with decision-making authority for detention and demurrage charges” and that high-level executives are not immune from being asked to produce relevant documents. Compel Motion at 7-9.

BAL asserts that courts routinely reject bare-bones requests for emails from the opposing-party’s high-level executives; BBY has not met its burden of demonstrating that BAL’s owners possess non-duplicative information and BAL has already increased the size of its

custodian list; BBY is not entitled to limitless discovery; and communications between BAL's owners are subject to spousal privilege. Compel Opposition at 6-11.

As explained in the prior order on motion to compel, the Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). Commission rules also state that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12.

Federal courts have addressed this issue. "In considering a motion to compel additional ESI custodians for high level executives, district courts have placed the burden on the plaintiffs to show whether those executives are likely to possess unique, relevant information concerning issues central to the plaintiffs' allegations." *In re Bank of Am. California Unemployment Benefits Litig.*, 2024 WL 3174874, at \*4 (S.D. Cal. June 25, 2024) (citing cases); *see also Garcia Ramirez v. U.S. Immigr. & Customs Enft.*, 331 F.R.D. 194, 198 (D.D.C. 2019) (finding that "Plaintiffs have shown that the new custodians would likely 'provide unique relevant information not already obtained.'" (citing) *Fort Worth Emps.' Ret. Fund v. J.P. Morgan Chase & Co.*, 297 F.R.D. 99, 107 (S.D.N.Y. 2013)).

BBY contends that Li and Xu should be added as additional custodians for ESI protocols because BAL listed them as individuals involved with detention and demurrage and who had decision-making authority for detention and demurrage. Compel Motion at 5. BAL contends that three of the nine custodians that it has already provided were also included as individuals with levels of decision-making authority regarding detention and demurrage. Compel Opposition at 10. It is noted that BAL previously represented that it "is a relatively small company, employing approximately twenty-eight employees," with "roughly thirty-five employees during the time period at issue." Opposition to [First] Motion to Compel at 14 (filed April 29, 2025).

BBY has not established that Li and Xu have unique, relevant information concerning issues central to the allegations. Given the delays in the proceeding and in BAL's document production, BBY had to file the motion prior to receiving the vast majority of BAL's discovery documents. It is likely that the question of whether the owners would have unique, relevant information will be resolved by the discovery provided this week. Therefore, the motion to compel will be denied without prejudice. Any renewed motion must show that the information sought would be unique and not available from another source.

BAL also asserted that communications between BAL's owners are subject to spousal privilege. Compel Motion at 10. The confidential marital communications privilege may be asserted against the production of evidence when four prerequisites are met: (1) there must have been a communication; (2) there must have been a valid marriage at the time of the communication; (3) the communication must have been made in confidence; and (4) the privilege must not have been waived. *S.E.C. v. Lavin*, 111 F.3d 921, 925 (D.C. Cir. 1997). Therefore, to assert the privilege, the communications must have been confidential. Instructions to BAL staff are unlikely to meet this standard. Moreover, it is unlikely that any documents regarding the publicly-traded company also owned by the BAL owners would be relevant.

### *Extension Motion*

In the Extension Motion, BAL sought a forty-five day extension of the remaining deadlines, citing delays in searching its emails. Extension Motion at 1. BBY did not oppose the extension and provided additional information about the cause of delays. Extension Response at 1-5. In the Compel Opposition, BAL contends that it has worked diligently since the July 16, 2025, order compelling discovery was issued and seeks a fifteen-day extension on all current deadlines. Compel Opposition at 3-6.

In its September 12, 2025, motion, BAL indicated that it was prepared to run searches but had not yet done so. In the September 12, 2025, Order on Pending Motions, the parties were advised that:

Due to the failure to timely raise these issues, the deadline for providing compelled documents will need to be extended. However, it is unlikely that the requested forty-five days will be granted. Moreover, discovery delays may not justify extending the briefing schedule. The parties are strongly encouraged to provide as much discovery as possible, as soon as possible, so that they can show they are providing discovery in good faith. Failure to provide discovery ordered may lead to adverse inferences, dismissal, or a default judgment. *MSC Mediterranean Shipping Co. S.A. v. Fed. Mar. Comm'n*, 141 F.4th 222, 241 (D.C. Cir. 2025) (denying petition for review of default judgment as sanction for failure to provide discovery).

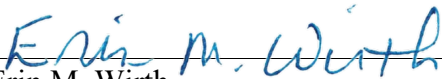
Order on Pending Motions at 1.

BAL has already received thirty days of additional time to provide the discovery that was ordered in the July 16, 2025, Order on Motion to Compel. *See* August 13, 2025, Second Revised Scheduling Order. The additional forty-five days requested is not reasonable. However, BAL represents that additional discovery was provided to BBY this week. BAL should be able to complete its document production by the end of this month. The time for expert discovery is limited so that the briefing schedule remains unchanged. The parties are expected to work together in good faith to complete discovery within the established deadlines. Therefore, the parties should begin scheduling depositions and working with their experts, if any, so that the deadlines can be met.

Good cause having been stated, it is hereby **ORDERED** that the request to revise the schedule be **GRANTED IN PART AND DENIED IN PART**. Accordingly, the parties shall follow this third revised schedule:

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| September 30, 2025 | Respondent provides documents identified in Order on Complainant's Motion to Compel.                         |
| October 30, 2025   | Complete depositions of fact witnesses. Last day to serve interrogatories, requests for admission, and RFPs. |
| November 10, 2025  | Disclosure of initial expert reports, if any.                                                                |

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| December 1, 2025  | Disclosure of rebuttal expert reports, if any.                                     |
| December 15, 2025 | Complete expert depositions. Close of all discovery.                               |
| January 6, 2026   | Complainant's initial brief, proposed findings of fact, and appendix.              |
| February 4, 2026  | Respondent's opposition brief, proposed finding of fact, and appendix.             |
| February 19, 2026 | Complainant's reply brief and responses to Respondent's proposed findings of fact. |

  
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Erin M. Wirth  
Chief Administrative Law Judge